NU HOLDINGS LTD.

NYSE: NU

World's Largest Digital Bank Outside Asia

131M Customers Across 3 Countries

Recommendation: BUY



Company Overview

131M	$15.8B	33%	$71.16B
Customers	FY2025 Revenue	Q4'25 ROE	Market Cap

WHO?
World's largest digital bank outside Asia. Founded in 2013, IPO'd in December 2021 on NYSE.
WHAT?
No-fee credit cards, digital accounts, personal loans, investing, insurance, and telecom.
WHY?
To enable the inclusion of a largely excluded and unbanked population in the LatAm

NYSE: NU
CEO: David Velez
Employees: ~10,027
HQ: Sao Paulo
P/E: ~25x





Brazil : 113M
Mexico : 14M
Colombia : 4M

History of Banking Industry

How financial services evolved and what broke the model?

1950s – 1970s

Branch Banking Dominates

The branch is the only distribution channel. Whoever has the most locations wins. Five banks control everything

1967 – 1980s

ATMs and Credit Cards

Barclays deploys the first ATM (1967). Visa and Mastercard build global payment rails. The branch loses its monopoly on cash access but not on credit or relationships.

1994 – 2005

Internet Banking Arrives

Banks move online. Everything accessible via browser. But the same fees, same products, same five players. A channel shift, not a disruption.

2007 – 2012

The Smartphone Breaks the Model

The iPhone puts a computer in every pocket. For the first time, a financial institution did not require a branch .

2013 – Present

The Neobank Era

Nubank, Monzo, Chime. No fees. No branches. AI-driven underwriting. The structural cost advantage of digital-native banking is finally large enough.

The pattern:
Every wave reduced the cost of reaching a customer.

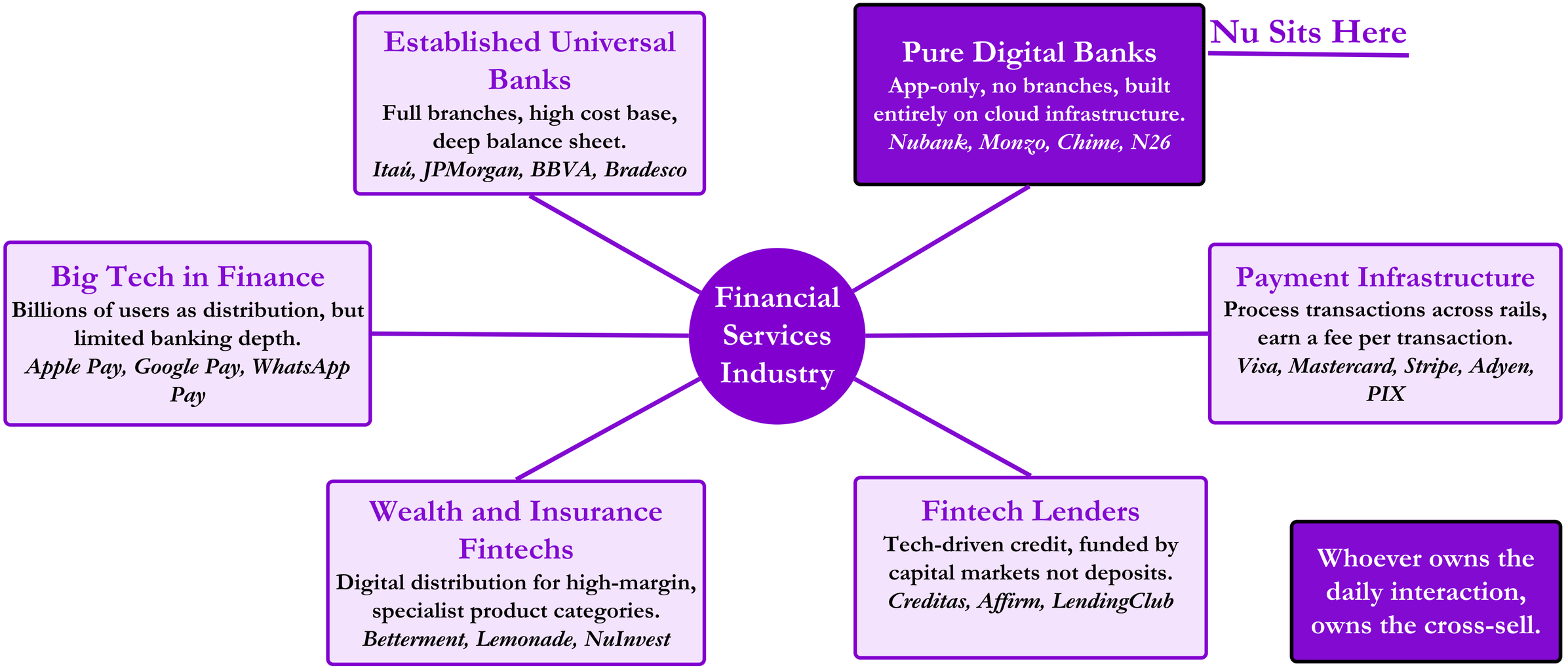
Branches → ATMs → Internet → Mobile → AI

The branch is now a liability, not an asset.

Brazil's Big 5 banks entered the smartphone era with branch networks averaging 3,000+ locations that were no longer needed.

Who Competes in Modern Financial Services?

Six structurally distinct participant types, each with different advantages and vulnerabilities



What Is Reshaping Banking and Why Now?

Mobile-First Behaviour
85% smartphone penetration in Brazil. 93% projected LatAm by 2030.

Instant Payments (PIX)
179.7M users. $6,325B in transactions (2025). 29% YoY growth.

Embedded Finance
Financial products inside non-financial apps. NuTravel, NuCel as examples.

Open Banking
800+ regulated institutions sharing data in Brazil. 60M+ active consents.

Platform / Super-App
Single app for banking, investing, insurance, telecom, travel, shopping.

Shift from Savings to Investments
Middle-class expansion + financial education driving fixed income and equity adoption.

- **Customer Dissatisfaction:** Established bank NPS: 30 to 45. Nubank: 84 - 90. The gap drives switching.
- **Financial Inclusion Gap:** 86.6 million unbanked adults across Brazil, Mexico, and Colombia.
- **Cost Efficiency Imperative:** $0.90 vs. $8 to $12 per month cost-to-serve. Structural, not cyclical.
- **Data as Competitive Asset:** 131M customers. Billions of daily transactions. A risk signal no one can buy.
- **Cloud and API Infrastructure:** Zero legacy drag. Elastic scaling. 100+ product launches per year.
- **Regulatory Shift:** PIX, Open Finance, Fintech Laws. Regulators are actively pro-competition.
- **Big Tech Pressure:** Apple Pay and Google Pay are forcing traditional banks to respond or lose.

Macroeconomic Landscape: Three Markets

FY2025 vs FY2024 | Source: Nu Holdings 20-F | IBGE, Banxico, Banrep, DANE

Brazil: High rates boost Nu's NII but pressure borrower affordability
Mexico: Near-stagnation GDP; Nu's growth is share capture, not macro-driven
Colombia: Recovery underway; Nu still in early credit-cautious phase

	For the Years Ended December 31,	
	2025	2024
	(in percentages, except as otherwise indicated)	
Brazil		
Real growth in GDP (6)	2.3	3.4
Inflation (IPCA) (4)	4.6	4.8
Average CDI rate, per year (1) (3)	14.3	10.8
Average exchange rate - BRL per USD 1.00 (2)	5.6	5.4
Unemployment rate	5.1	6.2
Mexico		
Real growth in GDP (6)	0.6	1.5
Inflation (INPC) (4)	3.7	4.2
Average TIIE rate, per year (1) (3)	8.4	10.9
Average exchange rate - MXN per USD 1.00 (2)(5)	19.2	18.3
Unemployment rate	2.4	2.4
Colombia		
Real growth in GDP (6)	2.6	1.5
Inflation (IPC) (4)	5.1	5.1
Average effective IBR rate, per year (1)(3)	8.8	10.6
Average exchange rate - COP per USD 1.00 (2)(5)	4,049.0	4,074.2
Unemployment rate	8.0	9.1

- All three markets saw inflation moderate or hold steady in 2025: reduces pressure on central banks to keep hiking.
- BRL and MXN weakness vs USD is the primary reason Nu's USD-reported growth lags its operational performance.
- Colombian Peso has been relatively stable: least FX risk of the three markets for Nu currently.

Consumer Behaviour

400M+
Adult population across LatAm

85%
Smartphone penetration in Brazil

54%
LatAm neobank adoption growth YoY

60%+
Adults lacking access to formal credit

KEY CONSUMER BEHAVIOURS

- **Mobile-first by default :** Smartphone penetration crossed 50% in Brazil by 2016; consumers manage finances entirely via app, branch visits feel alien to under-35s.
- **Fee resentment drives switching:** 35% of bank switchers cite digital experience as #1 reason; 47% among those switching to digital-first banks. Legacy card fees (R$400–1,200/yr) created a generation of reluctant customers

47% Switch banks for better digital experience

80-90% New fintech customers from word of mouth

65% Prefer 24/7 chatbot access over branches

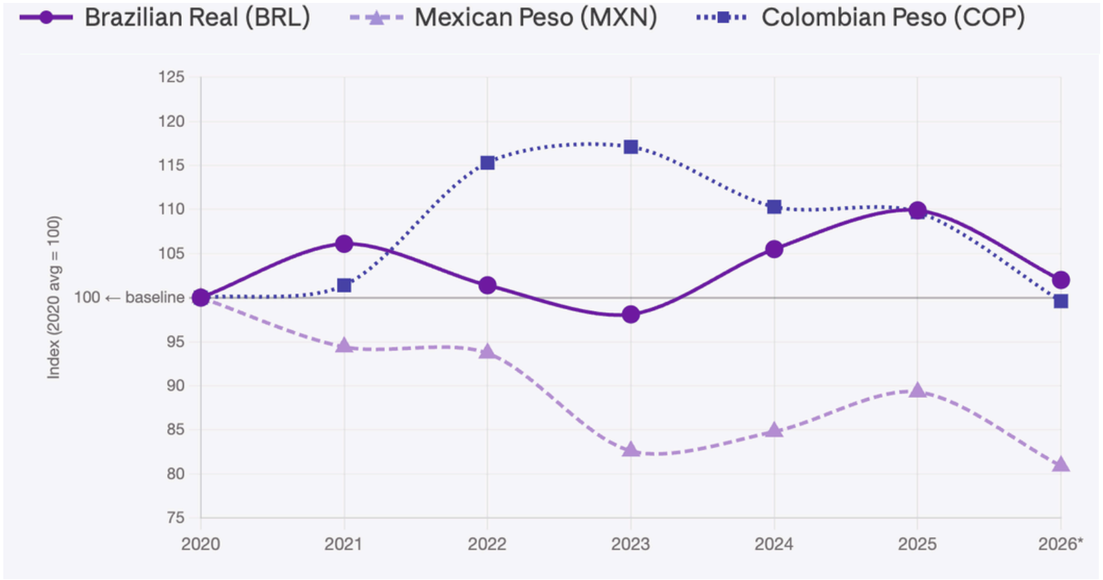
50% First-time credit card holders in Mexico

- **Referral as social signal :** First digital bank card became an identity marker, not just a payment tool. Word of mouth dominates 80-90% of fintech acquisition across the region
- **Rapid product graduation :** 60% of newly banked consumers progress from basic account to active multi-product use within 24 months, regardless of income level
- **Instant payments normalise digital money:** Brazil's Pix launched 2020; 170M+ active users within 2 years, reshaping consumer expectations of financial speed across all demographics

Macroeconomic and Forex Risks

Nu's operational cost structure ($0.80/month, 19.9% efficiency ratio) is essentially rate-insensitive. It is driven by technology costs, not financial market condition

- **FX Exposure:** Revenues are in BRL, MXN, and COP. Currency translation is the primary reporting risk, not an operational one.
- **No Hedging at Scale:** Management explicitly accepts FX as an uncontrollable variable and reports results on an FX-neutral basis. Deposits, assets and loans are naturally denominated in local currencies.
- **Natural Buffers:** $3B kept in cash for repatriation buffer. Hedging applied only to: supplier expenses, fixed-rate government bond portfolios, and stock-vesting tax obligations.
- **NIM Impact:** Q4 2024 NIM fell 70bps; 45% attributable to FX volatility, remainder from credit portfolio yield shifts as Nu expands into Mexico and Colombia.
- **Interest Rate Sensitivity:** Rate hikes narrow NIM on fixed-revenue products but increase inflationary default risk. Rate cuts expand NIM. ML models reprice new loans in real-time to adjust.

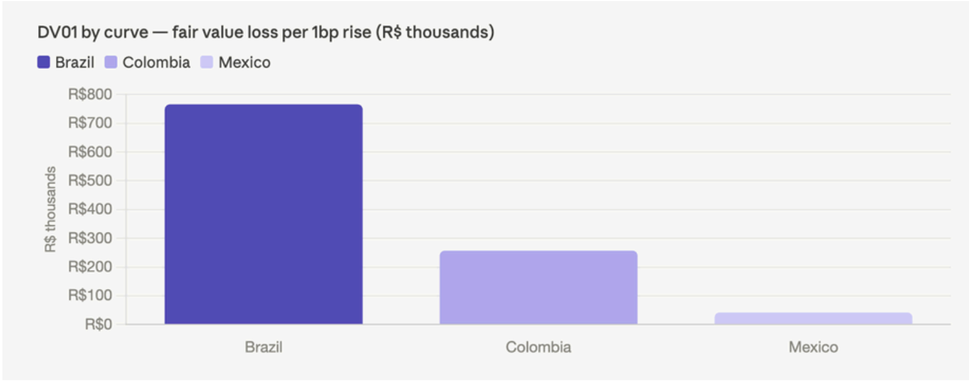


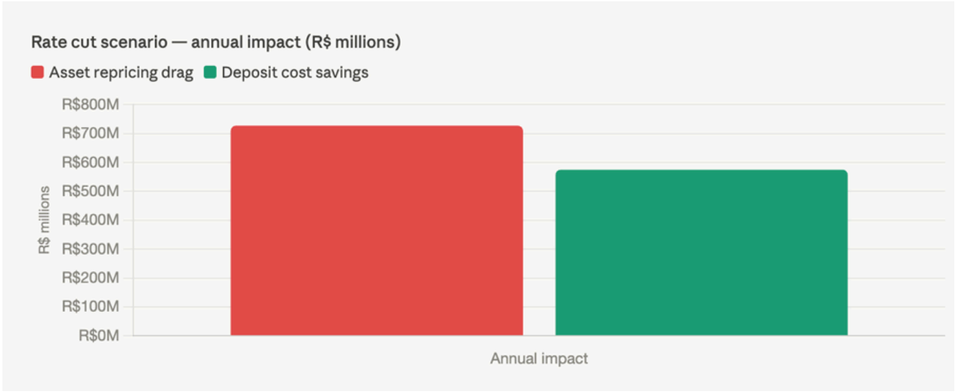
- **BRL/USD: R$4.995 (2023) to R$5.584 (2025), a 12% depreciation.**
- **Every 10% depreciation reduces USD-reported profit by 8-9% with no operational change.**

Macroeconomic and Forex Risks

Interest Rate Effect

- **Floating rate structure:** Assets priced at CDI + spread; liabilities (deposits) remunerated at 100% CDI. Both sides reprice together, so NIM impact depends on repricing speed and spread, not rate direction alone.
- **DV01:** Every 1bp rise in Brazilian rates reduces fair value of rate-sensitive positions by R$766K. A 25bp Selic cut = R$19.15M fair value gain.
- **Rate cut scenario:** Asset repricing drag of R$727.5M/year (~$132M) is partially offset by deposit cost savings of R$575M/year (~$105M). Net effect is mildly NIM-negative in the short term.
- **Credit quality offset:** ECL is Nu's largest cost line at $4.2B in FY2025 (+32.7% YoY). Lower Selic reduces consumer debt burden and improves credit quality, reducing NPL over the medium term.
- Lower rates also stimulate credit demand, supporting loan book growth.
- **Caveat:** ECL effects are lagged; all estimates assume FX rates constant.





Regulatory Landscape

Nubank's Regulatory Position Across Four Markets

- **Brazil:** Favorable. Full banking license on track
- **Mexico:** Favorable + AML risk. Banking license granted April 2025; cartel FTO designation is the watchpoint
- **Colombia:** Moderately favorable but credit-constrained. Usury rate cap is the ceiling on growth
- **US:** Long-duration optionality only. OCC conditional approval Jan 2026; operational bank not before mid-2027

Market	Regulatory Assessment
Brazil	**Favorable.** The Central Bank of Brazil (BCB) is globally recognised as the most progressive emerging-market regulator. Nubank's full banking license pursuit in 2026 is on track; it is a regulatory compliance move, not a growth constraint.
Mexico	**Favourable with meaningful AML risk**. Nu Mexico obtained its banking license in April 2025, a landmark milestone. However, the broader Mexican banking sector faces acute US-driven AML/cartel enforcement pressure. Nubank's compliance posture appears strong, but sector-wide reputational risk is a watchpoint.
Columbia	**Moderately favorable but operationally constrained**. The usury rate cap is the single biggest regulatory headwind as it prevents Nubank from profitably extending credit to the 65% of Colombians currently excluded from formal credit. Open Finance implementation is progressing slowly.
United States	**Optionality, not immediacy.** OCC conditional approval received January 2026. Full charter expected by mid-2027. A long-duration catalyst, not a near-term earnings driver.

Regulatory Landscape

Brazil: Favourable

LICENSING & CAPITAL

Operates via Nu Pagamentos, Nu Financeira, and Nu Investimentos, no full banking license yet(audit review pending). CAR of 16.9% already exceeds the new Basel III ECL minimum of ~16%. Full license = DREX ecosystem access.

PIX & SCALE

70M users, 6B+ txns/month, ~$550B value/month, 75% of Brazilian adults. Digital-native first-mover on Pix (62% adult penetration). BCB Res. 494 adds Pix-as-collateral, offline tap-to-pay, and trade bill integration in 2026.

OPEN FINANCE & DREX

800+ institutions, 60M+ active data-sharing consents. DREX pivoting to tokenization/settlement fabric, full banking license unlocks direct participation.

CREDIT REGULATION

Revolving/installment credit capped at 100% of original debt (Jan 2024). Prepaid interchange capped at 0.7%. FGTS loan restrictions (90-day cooling-off, 1 loan/year) cut originations 50–60%, partially offset by public payroll loans.

CRYPTO

BCB Res. 519–521 mandate SPSAV licensing, capital minimums, and asset segregation. Nu has a 270-day window to align NuCrypto : well-positioned as informal competitors are forced out.

TAX

Dual VAT transition underway; net burden unclear. Super-profit bank tax risk partially mitigated by Nu's zero-fee political optics.

AI & CREDIT ACCESS

OpenAI partnership (Mar 2025): AI credit scoring reaching 28M previously unbanked Brazilians.

Regulatory Landscape

Mexico: Favourable + AML Risk

BANKING LICENSE, APRIL 2025

Operates as a SOFIPO: retail deposit-taking and lending at lower capital requirements than traditional banks. Received conditional full banking license approval in 2025 (audit required in 2026), marking the first-ever SOFIPO-to-full-bank conversion in Mexican history. Unlocks deposit-taking with interest, broader credit products, deeper SPEI access, payroll portability (full implementation 2027), and enterprise credibility. $1.4B+ invested, 13M customers. 2025 watershed moment: Revolut Mexico, Plata Card also received full licenses; MercadoLibre entering soon. Nu's early-mover SOFIPO base and scale provide a structural head start

MARKET OPPORTUNITY

$63B USD in remittances received from the US in 2024: banking license enables direct entry. Llave MX (national digital ID) structurally lowers CAC for fintech onboarding. AI credit scoring operating under EU AI Act-inspired risk tiers with mandatory human review for high-risk decisions.

INTERCHANGE FEE RISK

Proposed cap on credit and debit card interchange fees threatens unit economics of onboarding unbanked consumers: key risk to Nu's core Mexico growth thesis.

AML & CARTEL FTO RISK

US EO 14157 (Jan 2025) and Feb 2025 FTO designations of 8 major cartels (CJNG, Sinaloa, Gulf, Beltrán-Leyva) mean financial facilitation now carries terrorism liability: up to $1M per transaction. FinCEN FOFA (Jun 2025) wound down CIBanco, Intercam, and Vector with ~MXN 185M in fines. Nu's edge: digital rails and eKYC via Llave MX are significantly more auditable than cash-heavy incumbents already targeted.

ANTITRUST Jul 2025: 21 banks and fintechs under investigation for merchant fee price-fixing; fines up to 20% of annual revenue.

Regulatory Landscape

Colombia: Constrained

LICENSING & STRUCTURE

Compañía de Financiamiento (CF) license received 2024: enables deposit-taking, savings accounts, loans, and card issuance. Savings account launched as Nu's second product after credit cards. SFC approved entity consolidation in Dec 2024.

BRE-B & DIGITAL MIGRATION

Colombia's Pix equivalent launched Sep 2025: early-stage tailwind for cash-to-digital migration. Partially dampened by the 4×1.000 transaction tax (0.4%) which structurally discourages formal banking uptake.

USURY RATE CAP

Hard cap on commercial and consumer loan interest at 1.5x the banking rate: currently 24.36% effective annual (SFC, Jan 2026). Violation carries both commercial and criminal penalties. Unremunerated reserve requirements at the Central Bank add further margin compression.

POLICY FAILURE

65% of Colombians lack formal credit access. Between Sep 2023–Nov 2024, consumer credit shrank 9% (COP 18T), eliminating 1.23–2.22M formal loans. The vacuum is filled by gota-a-gota informal lenders charging 380% (consumers) to 666.5% (businesses).

REFORM PATHWAY (CHILE MODEL): Differentiated rate caps by segment: estimated to unlock COP ~10T (~$2.4B USD) in new consumer credit and 8.9M new small-loan disbursements. Key upside catalyst for Nu if implemented.

OPEN FINANCE Aug 7, 2026 deadline, but scope is limited to SFC-regulated entities only, described by Colombia Fintech as "a very limited scenario." Materially narrows the data-sharing and product cross-sell opportunity vs. Brazil's model.

Porter's 5 Forces

Threat of New Entrants
LOW

- Banking licence: expensive + years to obtain
- 131M customer data moat → AI models improve with scale
- Regulatory capital requirements lock out challengers

Bargaining Power of Suppliers
MODERATE

- Cloud = AWS, commoditised, easily switched
- Deposits funded by 131M customers, not interbank markets
- Mastercard dependency

Bargaining Power of Buyers
MODERATE

- 83% monthly active users; ~4 products per customer
- 60% designate Nu as primary bank
- Switching = losing fee-free card + investments → high friction
- Consumers are sticky over time

Threat of Substitutes
MODERATE

- Crypto wallets, BNPL (Mercado Crédito), PicPay: partial only
- Pix is integrated into Nu, not a threat
- None replicate full-stack banking in one app

Competitive Rivalry
MODERATE

- Itaú, Bradesco, Caixa: massive but legacy-burdened
- C6, Inter, Mercado Pago: growing but 3–5x smaller
- Nu's efficiency ratio 19.9% vs. ~50% for incumbents structurally unreachable

Self-Reinforcing Business Model

More Customers

Word-of-mouth recommendations from existing customers resulting in viral organic customer acquisition and high retention.

More Engagement and Scale

Customers increase their engagement and use of high frequency and essential solutions or adopt new solutions.

More Data

Data gathered from each customer and transaction. The data compound in value with growth and drive AI & ML algorithms.

Lower Costs

Data sets used to make smarter underwriting decisions, improve customer segmentation and optimize business operations, which can improve efficiencies.

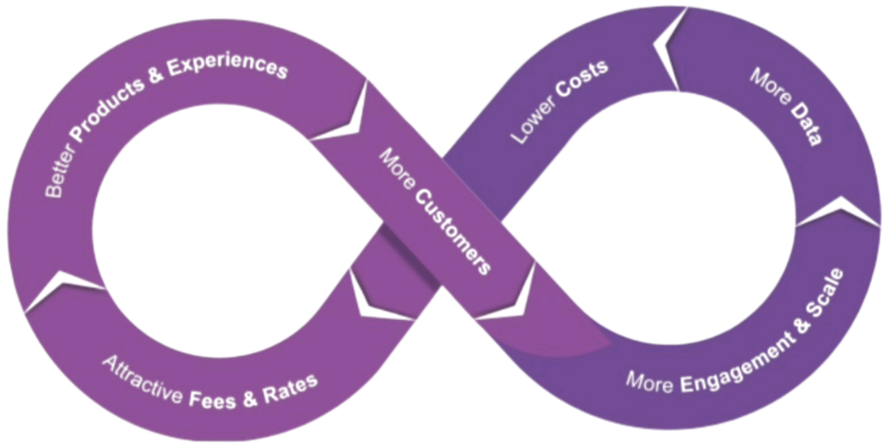
Attractive Fees and Rates

Use greater insights, efficiencies and cost savings to offer customers products with attractive fees and rates.

Better Products & Experiences

Use greater insights and efficiencies to improve product design, optimize customer experience and develop new features

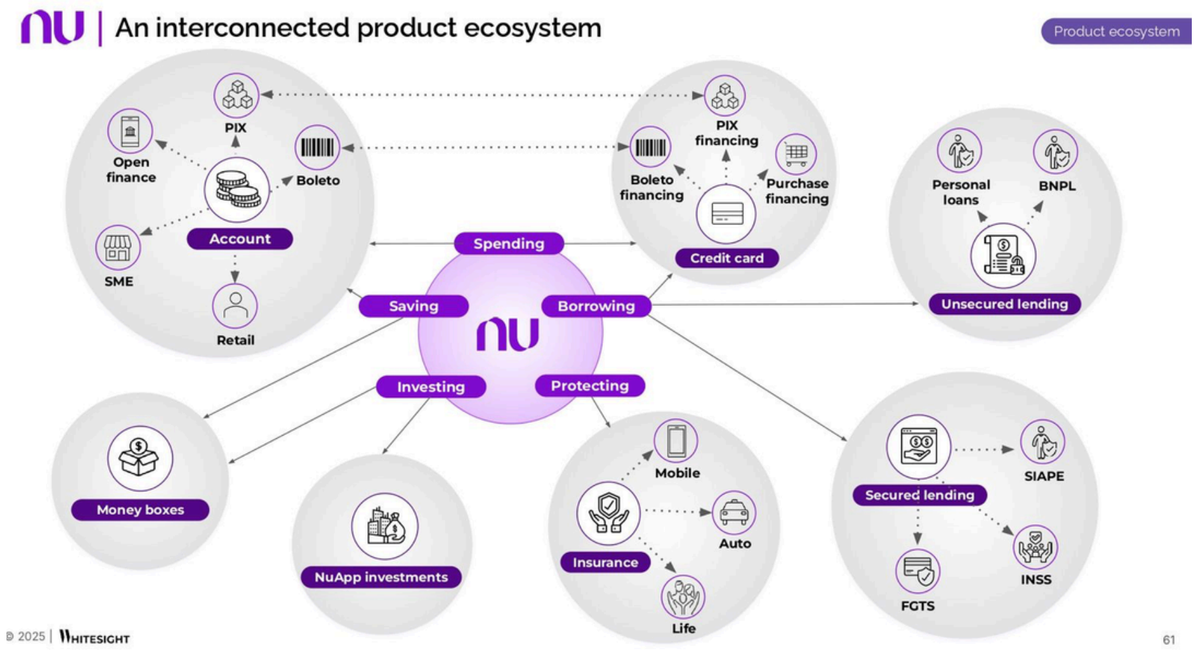
GROWING NU ECOSYSTEM



Core Principles

1. Customer-centric culture
2. Extraordinary customer experiences
3. Advanced in-house technologies
4. Proprietary Data Science

Products and Services



Spending

- **Nu Credit and Prepaid Card:** Mastercard-branded international card that is 100% digitally-enabled
- **Nubank+ Tier:** Mid-tier subscription
- **Ultraviolet Tier:** Premium banking tier
- **Mobile Payments**
- **Nu Shopping:** In-app marketplace

Transactions

- **Nu Personal Accounts:** Digital no-fee account
- **Nu Business Accounts:** SME-focused digital banking account
- **Nu Business Prepaid and Credit Card:** No-fee digital business payment card

Savings & Investing

- **Money Boxes:** Goal-based, customizable savings portfolios
- **Investing Solutions:** Simple, low-cost platform for investing with personalized guidance
- **NuCrypto:** In-app crypto trading and custody platform

Borrowing

- **Personal unsecured loans**
- **Personal Secured Loans**
- **Pix Financing:** Credit-enabled instant payment financing
- **Boleto Financing:** Financing of bank slip payment
- **Purchase Financing**
- **Cash-in Financing:** Convert credit limit to cash
- **NuPay:** In-app checkout payments

NuInsurance

Brokerage of Life, Mobile, Home and Financial Protection Insurance Policies

NuTravel

In-app travel bookings, payments and multi-currency services

NuCel

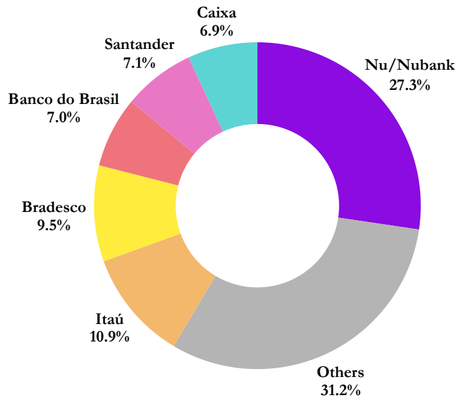
Mobile services product, operating via an MVNO partnership with Claro

Ratio Analysis: Nu vs. Peers by Geography

Brazil

Category	Nu Holdings	Itaú Unibanco	Bradesco	Banco do Brasil	Inter&Co
Market Cap	$72B	$97B	$30B	$25B	$2.5B
P/E Ratio	23x	11x	10x	9.7x	35x
P/B Ratio	7.0x	1.9x	1.1x	0.5x	2.5x
Loan-to-Deposit	78%	88%	121%	N/D	66%
Operating Margin	38%	37%	31%	27%	29%
ROE	33%	24.40%	15.20%	11.40%	15.10%
ROA	4.50%	1.60%	1.00%	0.80%	0.90%
Efficiency Ratio	19.90%	38.90%	55%	47%	45.50%
NPL ≥90 Days	6.60%	1.90%	4.10%	5.20%	4.70%

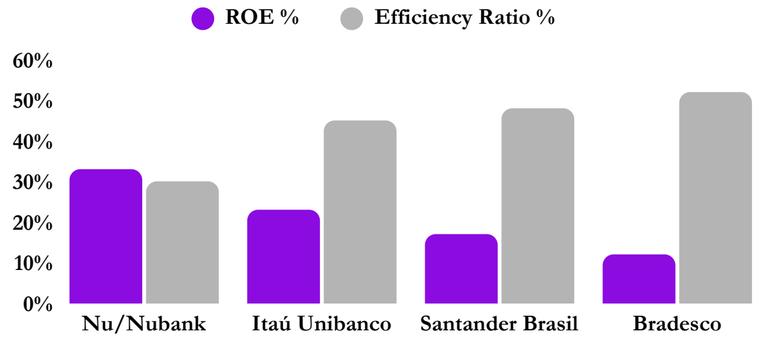
Brazil Retail Banking: Active Client Share



Source: BCB, Company Reports

Brazil: ROE vs. Efficiency Ratio Comparison

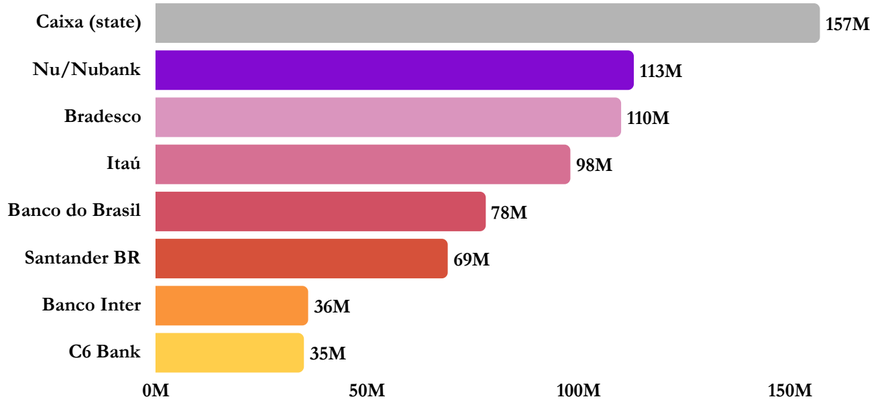
ROE % and Efficiency Ratio % (lower efficiency ratio = better)



Source: Company filings

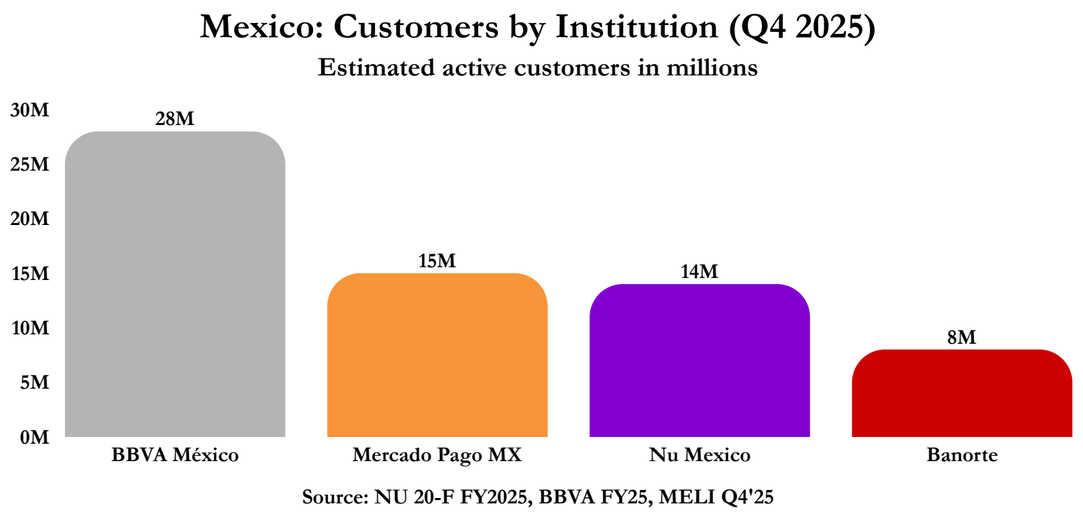
Brazil: Customer Base by Institution

Total customers in millions | Q3-Q4 2025



Source: BCB, Company Reports

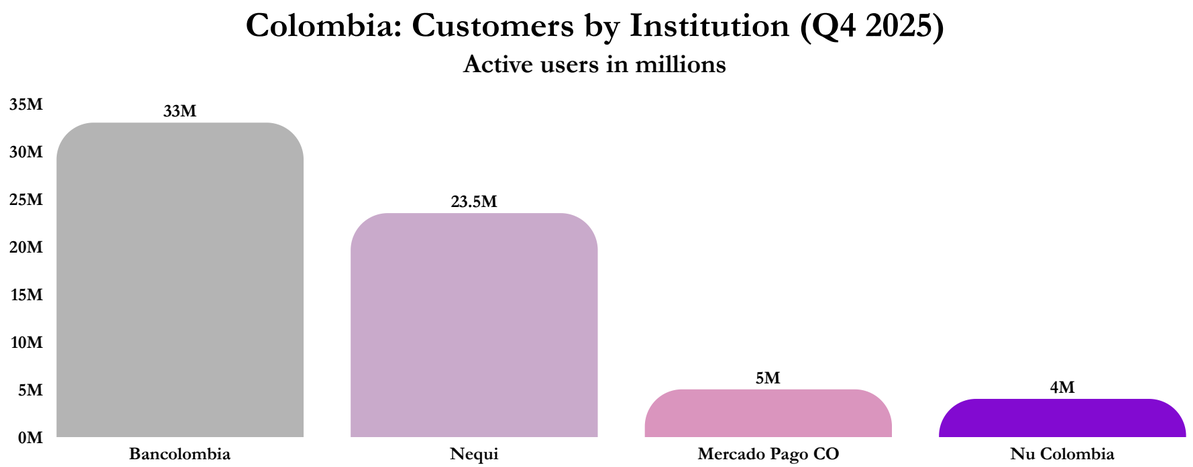
Ratio Analysis: Nu vs. Peers by Geography



Source: NU 20-F FY2025, BBVA FY25, MELI Q4'25

Category	Nu Colombia	Bancolombia
Market Cap	$72B (group)	$9B
P/E Ratio	23x (group)	11x
P/B Ratio	7.0x (group)	1.4x
Loan-to-Deposit	<20% (nascent)	101%
Operating Margin	Negative (inv. phase)	23%
ROE	Pre-profit	17.2% (ex-impairment)
ROA	Negative (inv. phase)	1.10%
Efficiency Ratio	>100% (inv. phase)	49.60%
NPL ≥90 Days	N/D (early stage)	3.20%

Category	Nu Mexico	BBVA México	Mercado Pago MX
Market Cap	$72B (group)	$72B (BBVA group)	$110B (MELI group)
P/E Ratio	23x (group)	9x (BBVA group)	45x (MELI group)
P/B Ratio	7.0x (group)	1.4x (BBVA group)	7x (MELI group)
Loan-to-Deposit	N/D (early)	123%	N/A
Operating Margin	N/D (seg.)	27%	N/D
ROE	Positive, improving	26%	N/D (seg.)
ROA	<1% (building)	2.30%	N/D
Efficiency Ratio	35–45%	38%	55%
NPL ≥90 Days	Record low Q4'25	2.40%	4.4% (LatAm)



Source: NU 20-F FY2025, CIB Q1'25 6-K, MELI Q4'25

Moat

Market & Leadership Advantage	• **One of the Largest Digital Financial Services Platforms –** 131 million customers (including both individual consumers and SMEs) across Brazil, Mexico and Colombia as of December 2025. • **First-Mover Advantage –** First digital-native financial services platform in Latin America; Market leader in digital financial services in Brazil in terms of number of customers
Brand Loyalty	• Simple, intuitive products and superior customer experience (reflected in higher NPS) drives brand recognition, organic growth through word-of-mouth referrals, **strong customer loyalty and high retention.**
Technological Advantage	• **Proprietary, cloud-based platform -** Enables centralized control, efficient operations, rapid product rollout, and scalable expansion with minimal third-party reliance • **Proprietary data and 60+ AI/ML models** - Enhance underwriting, personalize offerings, improve customer experience, and reduce risk
Self-Reinforcing Network Effects	• **Expanding user ecosystem** drives more data, improving products and experience, which fuels referrals and **compounds growth.** This reinforces a scalable, **hard-to-replicate multi-market model.**
Low Operating Costs	• **Low Cost to Acquire:** Customers acquired through viral word-of-mouth and direct customer referrals, enabling growth without expensive marketing campaigns or incentives. • **Low Cost to Serve:** Fully digital, branchless model with streamlined processes and scale efficiencies • **Low Cost of Funding:** Large, organically grown deposit base enables enables stable, diversified, low-cost, and scalable funding for credit expansion.
Advantaged Unit Economics	• **Increasing revenue per customer:** Driven by cross-selling, higher transaction volumes, and growing share-of-wallet (Monthly ARPAC for 2017 cohorts increased by over 22x by 2025) • **High customer engagement:** 83% monthly activity rates, indicating frequent, utility-like usage • **Low customer churn:** Supported by strong engagement and customer experience (0.1% monthly churn in 2025)

Threats to Moat

COMPETITIVE

- BBVA Mexico holds entrenched scale. First-mover advantage does not apply in Nu's two core growth markets.
- Bancolombia's Nequi already has 22.5M users, effectively matching Nu Colombia's addressable base before Nu has meaningfully scaled
- Google, Apple, and Meta all have active payment infrastructure in Latin America. Big Tech adjacency risk is accelerating.

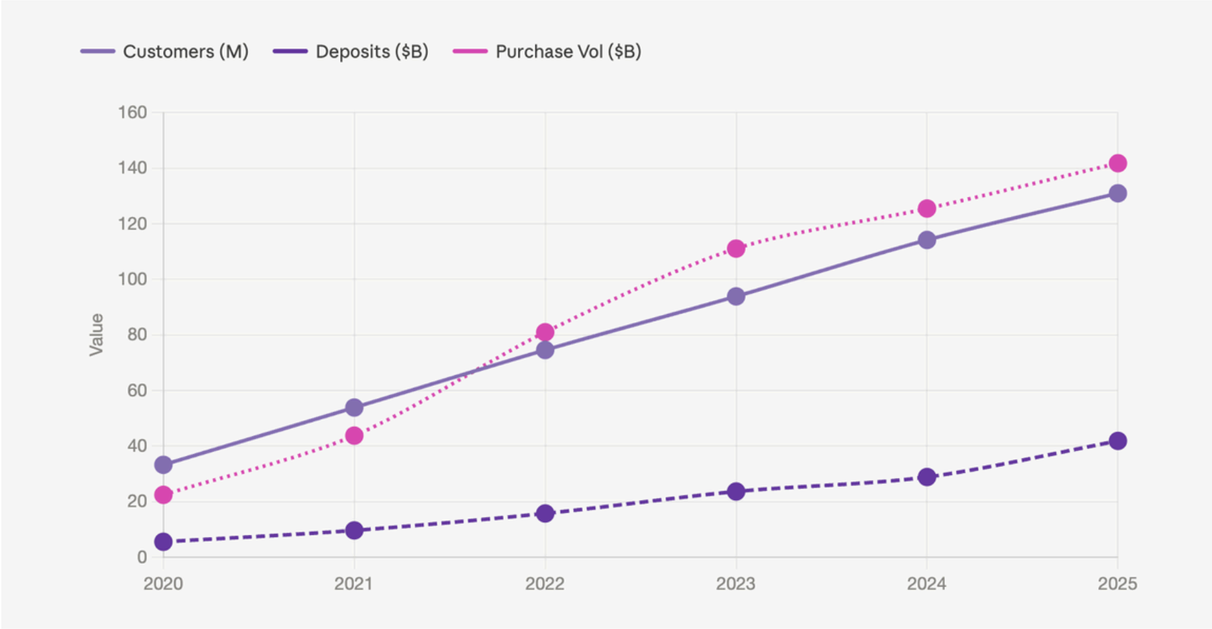
EXECUTION & TECHNOLOGY

- 60+ AI/ML models are only as good as their training data. In Mexico and Colombia, Nu is operating on shallow local datasets relative to Brazil.
- Single-vendor dependency: Mastercard reliance is a structural single point of failure.
- A single high-profile data breach or fraud event could be catastrophic. The entire acquisition model depends on word-of-mouth and brand trust

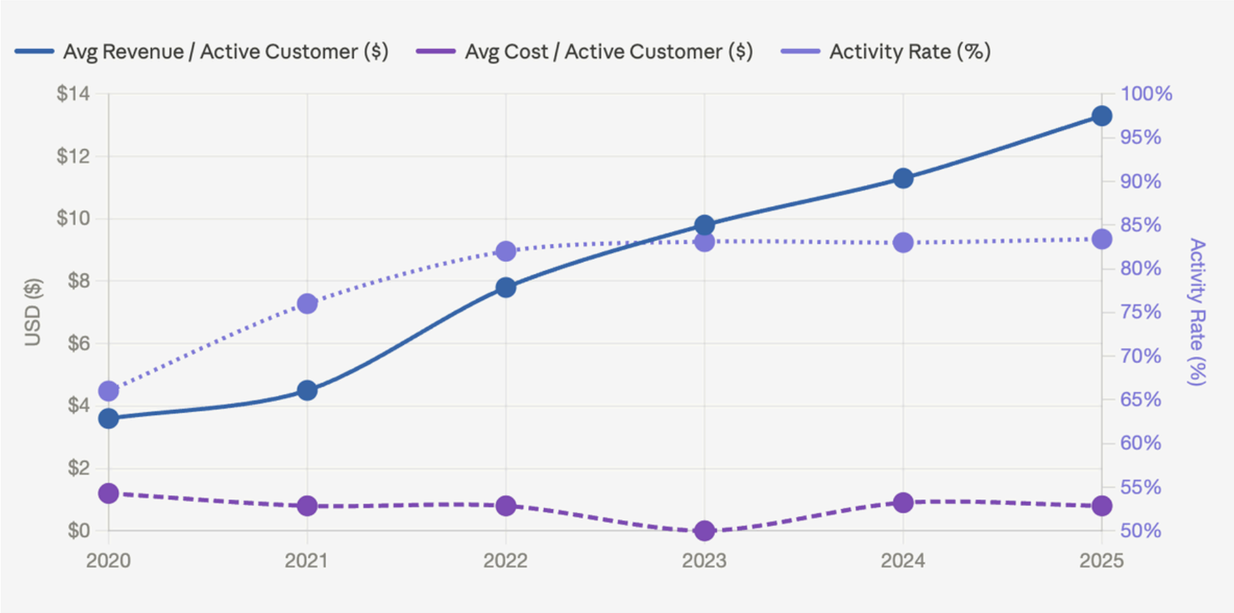
REGULATORY

Law 14,690/2023 (mandates a cap on credit card and interest rate late fees) directly attacks the unit economics of revolving credit.

Key Business Metrics



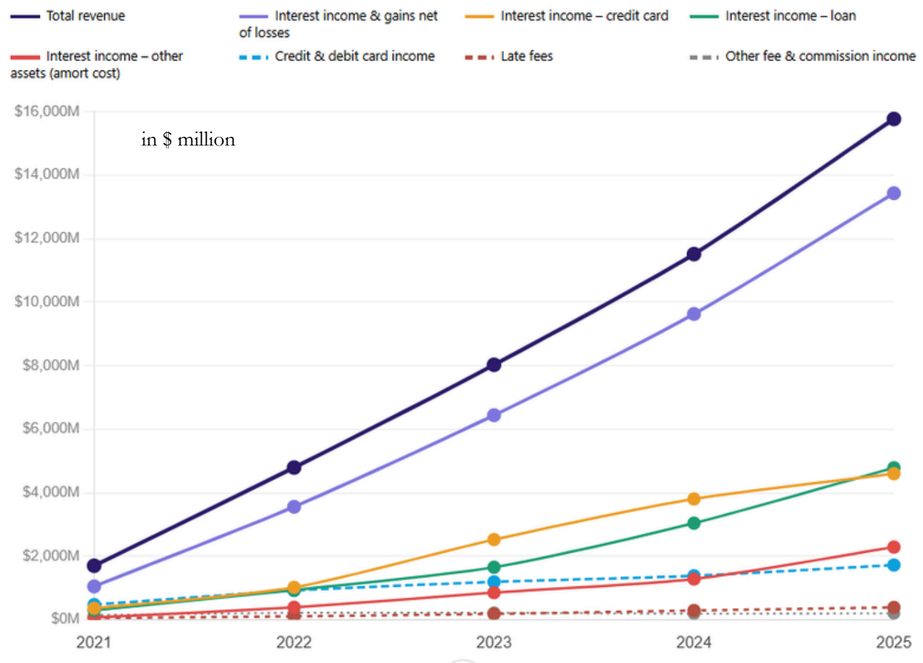
All three grew strongly, but purchase volume ($22.5B → $141.8B) outpaced customer count growth, meaning existing customers are transacting significantly more over time. Deposits ($5.6B → $41.9B) show accelerating growth post-2022.

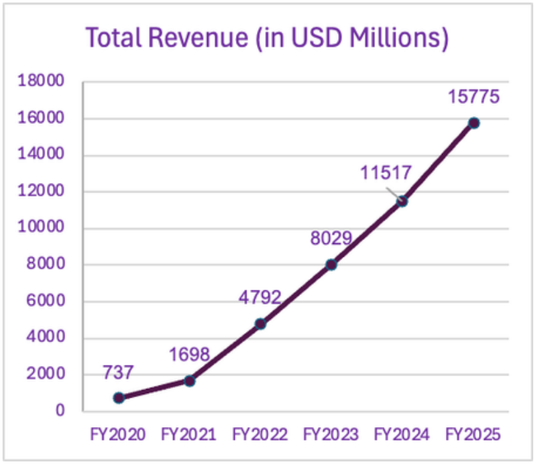


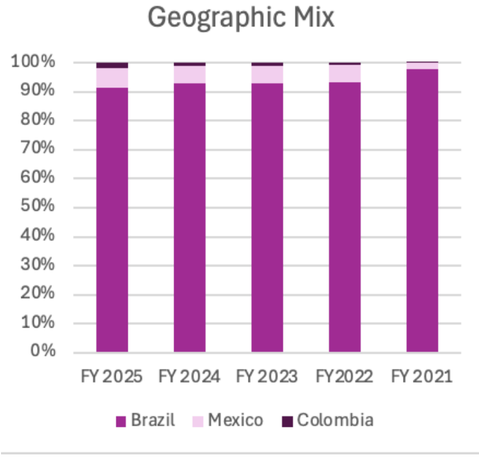
Monthly average revenue per active customer more than tripled ($3.6 → $13.3) while cost per active customer held roughly flat around $0.8-$1.2, a sign of operating leverage. Activity rate plateaued around 83% from 2022 onward, suggesting the active base is now largely saturated in engagement.

	CAC	Cost to Serve	Customers/Employee
Nu	US$7.4	US$0.8	14,314
Industry Avg	US$87	US$239	1,234

Revenue Trends







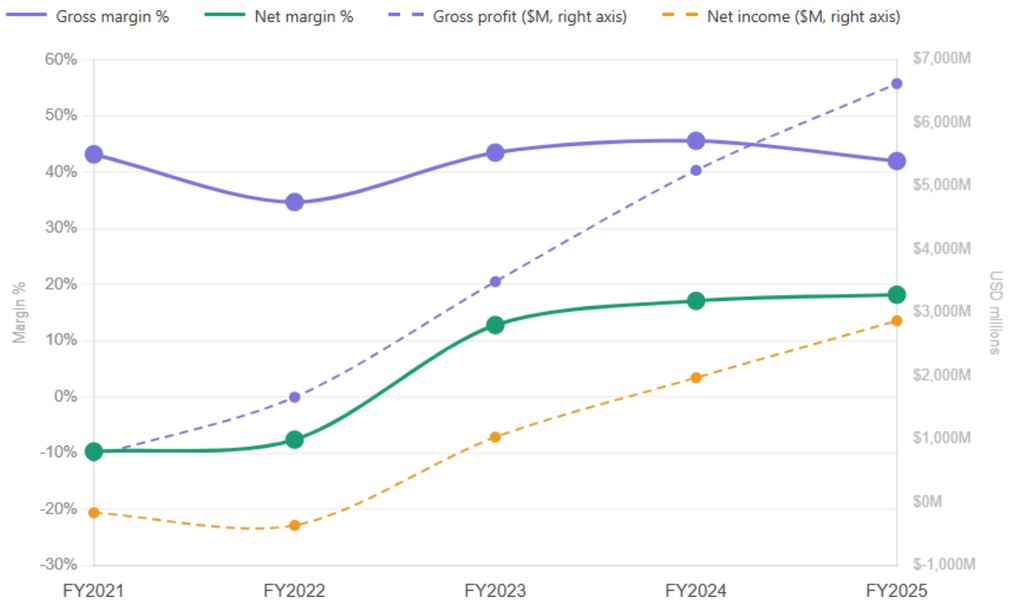
Revenue Trends:

- The 2021-22 phase was driven by the volume increase of the credit and debit book scale.
- 2023-25 trends have been an increase in ARPAC, deepening the engagement of the and monetization of the rest of the product portfolio.
- Fundamental shift from fee-based income to interest-based income as NU aquires full fledged liscences across the board, making revenue far more sensitive to changes in NIM.

Future Outlook:

- ARPAC is now on trend to meet the incumbent bank level at $45, however, will have to continue the upward trend of growth, at ~27% YoY trajectory
- Recent changes to FGTS regulations reduced new originations by more than half, offset by public payroll lending growth, and that without the FGTS headwind of salary deductible loans, sequential portfolio growth would have been approximately 13–14% rather than 11%.
- Efficiency ratio might face upward pressure due to investments in AI, new technologies, and global expansion, however will increase long term international capacity and returns.

Margin Analysis



Gross Margin

- **21-22 Dip:** Accelerated ECL provision due to an increase in the scale of higher-risk segments of credit
- **24-25 Dip:** Reflects the 61% increase in the funding cost of the ~$41 Billion deposit base, coupled with higher ECLs due to 40% growth in credit portfolio, expectations of reversal to come as soon as Mexico and Colombia funding costs stabilize (dip due to expansion)

Net Income Margin

- Consistent movement from loss to stable net profitability (18.2% as of 2025)
- Seeing an increment of operating leverage as operating expenses stabilize
- The effective tax rate declining from 33.0% in 2023 to 25.8% in 2025 has provided a meaningful tailwind to net margin expansion
- Future compression is announced as NU plans for expansion in AI infra, and its planned global expansion.

Intellectual Property

Datomic

An internally developed database management operating system designed specifically for domain-specific transactional data

NuCore Technology Platform

Cloud-based core financial services platform, managing the transaction authorization, regulatory reporting, and bank account processing

NuX Credit Engine

Self-learning credit underwriting engine that evaluates customer risk and optimizes credit limits using machine learning and alternative data sources

Patents

- US Patent for Ultraviolet feature
- **NuTap:** a feature that allows the merchant to receive the payment from their phone instead of using a bank card machine, before the USPTO

Growth Strategies

Customer Acquisiton

Building a **loyal, referral-driven user base** through superior products, digital engagement, and targeted brand-led marketing to drive acquisition and ecosystem expansion

Product Expansion

Continuous launch of new financial products and features (cards, loyalty programs, payments, loans, investments, insurance, crypto, etc.) to meet evolving customer needs.

Expand Customer Wallet Share

Cross-selling and upselling driven by data insights to increase wallet share and products per customer (4 per active user as in Dec 205).

Partnerships to Grow Marketplace of Offerings

Strategic partnerships to rapidly expand into products or services not offered yet. E.g. Amazon, Casas Bahia, Magalu and Epay (marketplace), Chubb (insurance), Hopper (travel).

Strategic Acquisitions

Select acquisitions (e.g., Easynvest, Hyperplane) to consolidate or expand into new areas and gain new capabilities more quickly and efficiently.

Minority and Venture Investments

Minority stakes (e.g. Tyme Group) **in early-stage companies** to quickly access new geographies, products, and technologies, enabling fast, capital-efficient marketplace expansion.

Geographic Expansion

Entering new markets using portable and scalable technology, data science, credit and customer experience model. Global product architecture is designed to be adaptable across multiple geographies.

Acquisitions

cognitect

Acquired July 2020
US-based software consultancy behind the Clojure language and Datomic database

Why?

- Cognitect had been Nu's core tech partner since 2014, deeply embedded in infrastructure
- Nu was running 2.5M lines of Clojure across 500 microservices on 2,000+ Datomic servers
- Acquisition locked in the talent and IP permanently, removing vendor dependency
- Opened access to the US engineering talent market and remote-work expertise

hyperplane

AI/data intelligence platform (founded 2022) enabling financial institutions to train and deploy deep-learning models on first-party data.

Why?

- Integrated into Nu's data stack to power models across risk, collections and marketing for 100M+ customers
- Founding team: AI leaders from Google AI, Meta, Apple and LinkedIn
- Explicit "AI-first" bet- builds foundational ML models consumed across product and engineering
- Directly supports Nu's structural cost advantage by enabling personalisation at near-zero incremental cost

tyme:

Invested $150 million in December 2024.

- Tyme was already doing in Africa and Southeast Asia exactly what Nubank had done in Latin America, disrupting traditional banking by making financial services cheap and accessible to underserved populations.
- Rather than spending years and billions building operations from scratch in unfamiliar markets, Nubank backed the most credible operator already on the ground.
- Nubank took a roughly 10% minority stake and offered its decade of scaling experience in return.

The US Charter

It is a well-structured option with an asymmetric payoff of a limited downside and open-ended upside.

Strengths

- $0.90/month cost to serve
- 83%+ monthly activity rate
- 33% ROE in LatAm; capital to absorb early U.S. losses
- Federal charter =immediate 50-state operations
- Proven credit underwriting in high-risk emerging markets
- First-mover in LatAm diaspora banking niche in U.S.
- Roberto Campos Neto (ex-BCB) + Brian Brooks (ex-OCC) on board

Weaknesses

- Low U.S. brand awareness outside LatAm community
- No U.S. customer relationships
- Junqueira departure reduces LatAm leadership depth
- U.S. credit models differ from LatAm (FICO-centric ecosystem)
- OCC + FDIC + Fed + state laws = complex multi-regulator burden
- BRL/MXN currency exposure compresses USD capital base
- De novo bank = zero track record for U.S. regulators

Opportunities

- 62M+ Hispanic Americans, many underserved by incumbents
- $150B+ annual U.S.-LatAm remittance corridor
- Digital asset custody
- Cross-border product linking U.S. + Brazil/Mexico accounts
- Deposit funding advantage vs. non-bank fintechs
- Gen Z distrust of legacy banks is growing

Threats

- JPMorgan / Chase respond with Spanish-language targeting
- Chime, SoFi already exists
- U.S. CAC may be 15-30x higher than Brazil experience
- Capital requirements reduce excess capital buffer
- U.S. credit losses from unproven underwriting model
- Political/regulatory risk (anti-foreign bank sentiment)
- Apple / Google expanding financial services ecosystem

The US Charter

The U.S. digital banking market is the most competitive in the world. Structurally, it presents three headwinds Nubank did not face in Brazil:

(1) **Incumbent strength:** JPMorgan, BofA, and Chase have world-class digital apps and enormous brand trust.

(2) **CAC** : U.S. digital banking CAC runs $150-300+ vs. sub-$10 in Brazil where Nu grew in an underserved market.

(3) **Product maturity:** most Americans already bank digitally. Nu must generate switching behavior.

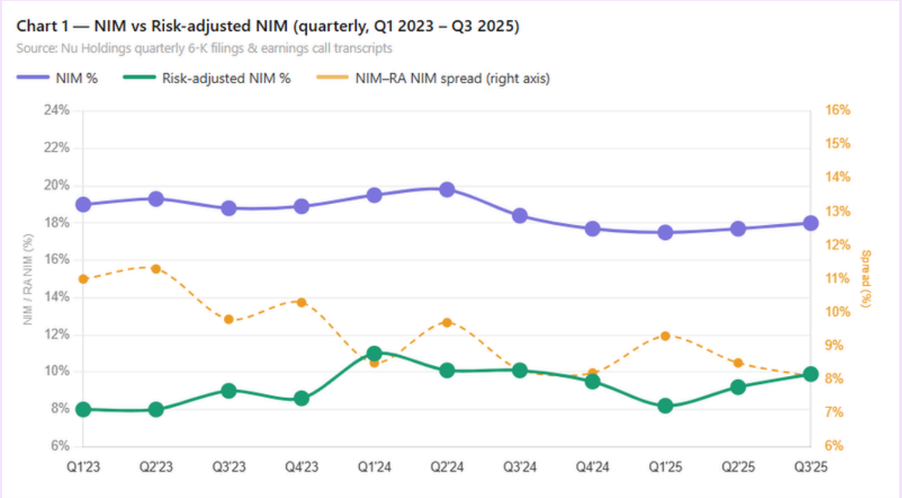
Player / Company	Customers	FY25 Revenue	US Status	Competitive Positioning & Key Differentiators
Chime	~22M active	~$535M	ESTABLISHED (No charter)	Largest US neobank by active users. Fee-free, early payday, SpotMe overdraft. Mass-market / underserved Americans. Burning cash; IPO filed at ~$25B valuation despite ongoing losses.
SoFi	~10M	~$2.6B	CHARTERED NATIONAL BANK	Full-service digital bank for high-income millennials. Student loan heritage. One of the few profitable US neobanks. First nationally chartered bank to offer retail crypto (Nov 2025).
Varo	~5M	N/A (private)	CHARTERED NATIONAL BANK	First US consumer fintech with a national bank charter (2020). Focus on low-income, underserved Americans. No-fee banking. Burning capital; actively raising fresh rounds.
Current	~4–5M	~$100M est.	PARTNER-BANKMODEL	Targets underserved youth and gig workers. Early direct deposit, fee-free overdraft. Teen banking product. Niche, limited product breadth.
Revolut	~52M global	~$6.0B	US LICENSE PURSUING	Deep super-app: multi-currency, trading, crypto, insurance, business accounts. $75B valuation. Launched US high-yield savings (Sep 2025). Biggest international threat.
Wise	~13M active	~$1.2B	OPERATIONAL IN US	Cross-border payments leader. 160+ currencies, transparent FX fees. Already operating in the US, a direct threat to Nubank's remittance corridor strategy for the Latino market.
JPMorgan Chase(Chase Mobile)	~86M digital	~$177B	DOMINANT INCUMBENT	Largest US bank. Massive digital investment; Chase Mobile best-in-class. Nubank's toughest long-term competitor for high-income customer wallet share. Scale and brand moat nearly insurmountable.
Bank of America(Erica AI)	~58M digital	~$98B	DOMINANT INCUMBENT	Erica AI assistant used by 42M+ customers. Heavy digital-first investment. BofA is closing branches rapidly. Incumbent most invested in AI-driven digital banking — may preempt Nubank's tech edge.

Credit and Asset Quality

- NuX Credit Engine which underwrites for long-term higher NPV rather than short-term NPL minimisation.
- Customer and product mix differ materially from incumbents, making direct comparison misleading.

NIM Compression: The 70bps sequential NIM compression in Q4 2024 and the 140bps single-quarter compression in Q3 2024 had three identifiable drivers:

- BRL depreciation (~8% impact): mechanical and reverses with FX recovery
- Above-market deposit rates in Mexico (post-Cuenta Nu launch) and Colombia, a deliberate franchise-building investment, normalises as markets mature
- Deliberate portfolio mix shift toward lower-yield, lower-risk customers, compresses headline yield but improves credit quality

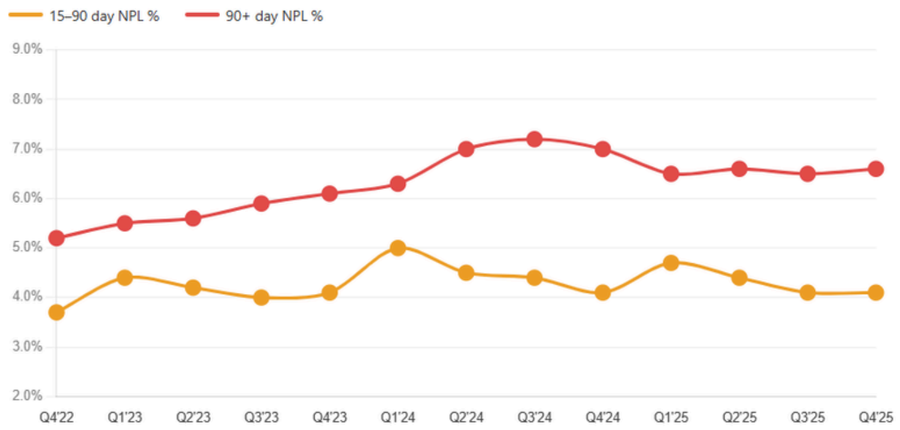


Risk-adjusted NIM expanded 110bps year-over-year through Q3 2024, even as reported NIM fell. This is the more meaningful number. Nu was improving credit quality faster than headline yield declined. NIM subsequently recovered in Q2 2025, validating the thesis that compression was transitory

Credit and Asset Quality

NPL 90+

Nu's 360-day write-off policy (vs. the industry standard of 180 days) means delinquent accounts accumulate in the 90+ stock for an additional year before being written off, mechanically inflating the headline NPL ratio in a rapidly growing book. The Q3 2024 peak of 7.2% was the culmination of three consecutive quarters of elevated early-stage (15–90 day) delinquency, primarily concentrated in the 2022 vintage cohort, as evidenced by Level 3 receivables rising from $599M to $1.1B between 2022 and 2023. The subsequent restoration to 6.6% by FY2024 reflects natural curing and roll-off of that cohort, improved underwriting on 2023+ originations (data suggests the latter is dominant, newer vintages are materially cleaner, validating the NuXCredit ML engine accumulating training data), and profitability scaling into retained earnings.



LIQUIDITY

FX-neutral deposits of $41.9B against total receivables of ~$27.3B (mid-2025) implies a 1.53x deposit coverage of the lending book, Nu is structurally over-funded relative to its credit exposure.

MARKET MISPRICING OPPORTUNITY

The Q3 2024 NIM compression reflected a convergence of temporary forces (FX, deliberate deposit pricing, portfolio mix shift) rather than a structural inflection. The market's tendency to overread quarterly deterioration driven by BRL volatility creates recurring buying opportunities. Risk-adjusted NIM expanding even as reported NIM compressed is the cleaner signal.

Risks to Asset and Credit Quality

Selic-driven Consumer Debt Stress:

Selic at 12%+ compresses household disposable income across the exact income segments (sub-2x minimum wage earners, NUs deepest penetration)

Unseasoned Mexico and Colombia Credit Books:

The credit book has not yet been tested through a full credit cycle yet, where the ML underwriting models in those markets have far fewer local data points

Vintage Seasoning Risk:

Nu's reported 15–90 NPL is mechanically held down by the constant inflow of young, pre-peak-loss vintages. If origination growth slows from 40% to 15% annually, more vintages enter peak-loss windows simultaneously, and the aggregate NPL ratio would rise by the seasonal effect without any credit deterioration

Revolving Credit Rate Cap

Management & Leadership

Key Management



David Velez Osorno
Founder, Chairman & CEO
Stanford GSB. Previously a Partner at Sequoia Capital and General Atlantic. Founded Nu in 2013 to challenge Latin America's banking oligopoly.



Cristina Junqueira
Co-Founder & Chief Growth Officer
Kellogg MBA. Leads US Bank Charter strategy as CEO Nu USA. Deep expertise in product design and financial inclusion across Latin America.



Guilherme Lago
Chief Financial Officer
Harvard Business School MBA. Former Credit Suisse Managing Director and McKinsey. Joined Nu in March 2019 when it was still early-stage.

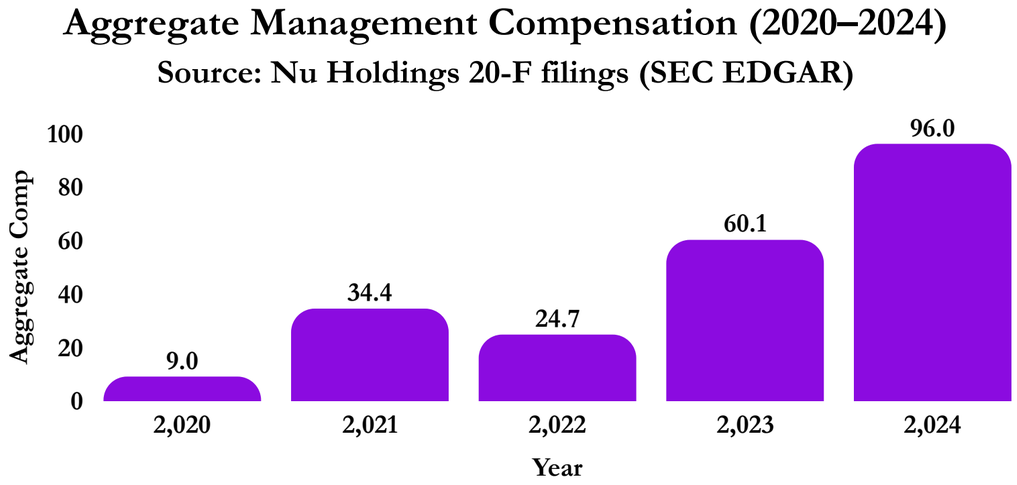


Eric Young
Chief Technology Officer
Vanderbilt CS/Math, Wharton MBA. Joined August 2025. Former SVP Engineering at Snap Inc., 7 years VP Engineering at Google, and senior roles at Amazon.



Henrique Fragelli
Chief Risk Officer
HEC Paris MBA, USP Economics. Former Global Head of Traded Portfolio Analytics at HSBC London. Architected Nu's credit underwriting engine from the ground up.

Compensation Analysis



Structure: 100% Equity-Aligned

- **Variable comp: 100% in RSUs, no cash bonuses**
- **CEO base salary: $350,500, unusually low for a company this size**
- **No pensions or post-employment benefits**

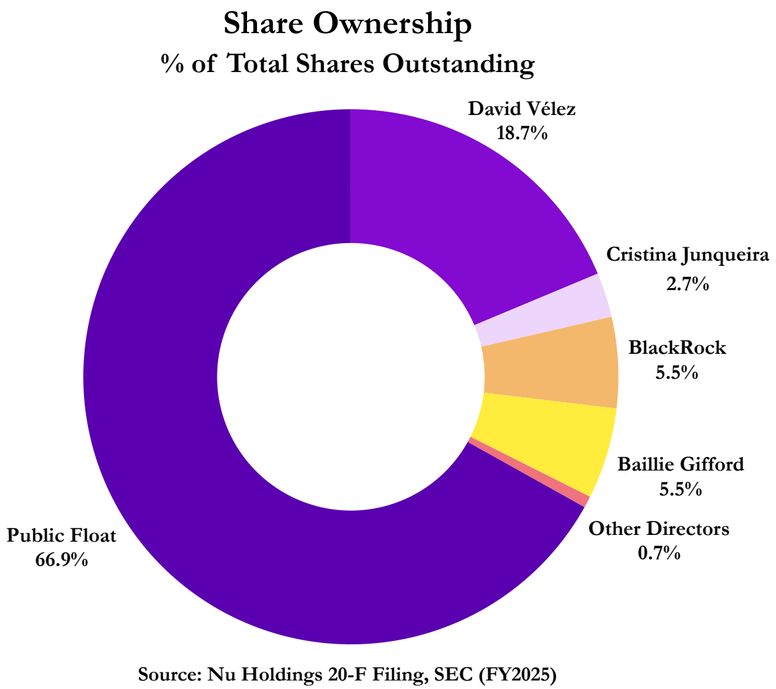
The $423M Moment

- **Nov 2022: Vélez voluntarily cancelled the entire 2021 CSA**
- **Potential value: $423M · Received: $0**

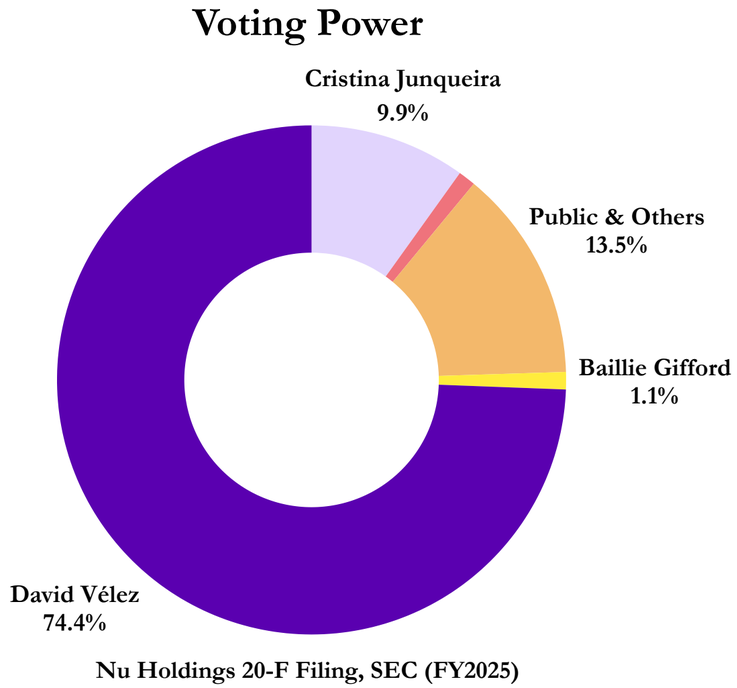
Pay Parity

- **Same Brazilian union profit-sharing formula for all ~10,027 employees and executives**
- **RSU grants extend broadly, not C-suite only**

Governance & Share Structure



Source: Nu Holdings 20-F Filing, SEC (FY2025)



Nu Holdings 20-F Filing, SEC (FY2025)

Voting Structure:

Class A - 1 Vote Per Share

Held by institutional investors and retail shareholders and represents ~75-80% of economic interest in company.

Class B - 20 Votes Per Share

Held exclusively by founders. 20-25% economic interest but 75-80% voting power. David Velez holds 74.4% of total voting power through this class.

Class C - No voting rights

Reserved exclusively for equity-based compensation.~88% of active employees have been granted share-based awards. Supports alignment between employees and long-term shareholder value.

NYSE "Controlled Company" Status

Vélez can elect a board majority while holding ≥40% of voting power, and retains veto rights on key actions per the Shareholder's Agreement , even as his economic stake dilutes.

Management & Governance Checklist

Item	Verdict	Notes
Share pledge status		No promoter pledges. Alignment via ownership only.
Auditor history		KPMG throughout. No changes, no qualifications.
Key personnel / board departures		One departure in entire public history (Muhtar Kent, Oct 2022).
Independent directors		8 of 9 independent — but "controlled company" exemption limits full NYSE compliance.
Related party transactions		Immaterial. CSA to Vélez disclosed and cancelled. No insider loans or sweetheart contracts.
Fraud / regulatory actions		Zero SEC enforcement, BACEN penalties, or shareholder suits through Apr 2026.
Concall commitments vs. delivery		All major 2022–2025 commitments delivered or on credible trajectory.

Item	Verdict	Notes
Equity ownership culture		88% of active employees hold share-based awards (Dec 2025).
Employee reviews		4.4/5.0 across 433 reviews. Meritocracy and mission rated highly.
Average tenure		BoD: 4.8 yrs. Senior management: 1.6 yrs normal for growth stage.
Male-female employee split		60% male / 40% female. Tech gap (90% male) remains. 50% leadership target unverified for 2025.
Employee equity structure		Broad-based RSU vesting. SBC ~2–2.5% of revenue. CSA cancelled 2022.
Share buybacks		$200M buyback initiated 2025 — positive signal, but only 0.3% of market cap.

ESG Analysis



Environmental:

- Carbon neutral since 2020 · Total emissions: only 12,862 tCO_2e (99% Scope 3 -card delivery).
- No SBTi commitment · DitchCarbon score: 29/100 · No standalone GRI/TCFD report.



Social:

- 20.7M Brazilians received their first-ever credit card through Nu
- 50% of Mexico customers are first-time cardholders.
- DEI targets: 50% women, 30% Black employees by 2025
- Validated by Mastercard/Nu study across 3.6M records.



Governance:

- Board majority independent (8/9)
- 33.3% women
- SEC + NYSE + multi-jurisdiction compliant - KPMG audited
- Dual-class shares : Vélez holds 74.4% voting power
- No GRI or TCFD standalone report yet

Buffett's 12 Tenets

Simple and Understandable Business

Mobile app. One product.

Digital bank: credit, savings, loans, insurance. Zero complexity, zero branches.

Consistent Operating History

$0.74B → $15.8B

Revenue grew every single year since inception, $0.74B in FY2020 to $15.8B in FY2025

Favorable Long-Term Prospects

400M+ underserved adults

131M customers, 62% of Brazilian adults, Mexico at 14M and Colombia at 4M barely started.

Rational Management

$70M forfeited

Vélez voluntarily cancelled his own equity award in 2022 to reduce shareholder dilution.

Management Candour

Full FX + GAAP disclosure

NPL risk, currency exposure, and early-stage losses disclosed explicitly, not buried in boilerplate.

Resists Institutional Imperative

NuCel & NuTravel

Avoided crypto bubble. But telecom & travel expansions stretch beyond the financial services moat.

Return on Equity

ROE: 33% (Q4'25)

From –7.8% in FY2022 to 33% in Q4'25. Among the most capital-efficient regulated banks in the world

Owner Earnings

~$0 Maintenance CapEx

100% cloud on AWS. No branches, no ATMs, no legacy systems. Every dollar earned is nearly fully available to owners.

High Profit Margins

Efficiency Ratio: 19.9%

Gross margin ~40%, net margin ~18%. Bradesco runs at 50% efficiency. Nu is structurally half the cost of every incumbent.

$1 Retained Generates $1+ of Market Value

ROE: 33%

Every dollar kept in the business earns 33 cents back annually. Retained capital is not wasted,it is compounded.

Low Debt

Loan-to-Deposit: ~40%

Far below the 70–90% industry norm. Excess capital of $2.4B at holding level. But banking is inherently levered so credit cycle risk remains.

Attractive Valuation

Margin of safety is thin, not absent(~10%)

Profit Zone

Switchboard

Central platform owning the customer relationship, which grows more valuavle with increasing customers.

Customer Solutions

Built around solving a specific pain point

- Entered Brazil solving: high fees, poor service, slow onboarding
- Zero-fee card, instant approval, full digital — pain eliminated

Installed Base

Monetise customers repeatedly after low-cost acquisition

- Acquire via card → cross-sell loans, investments, insurance

Low Cost Design

Win through structural cost advantage

- No branches. No ATMs. 100% cloud on AWS.
- Efficiency ratio: 19.9% vs. ~50% at incumbents
- CAC: $7.4; Cost to Serve: $0.80

Brand

Profit through trust and emotional connection

- Built on: transparency, simplicity, anti-bank identity
- Purple card = status symbol for Brazil's emerging middle class

Revenue Assumptions

Via Geographic Segmentation

	Historical					Forecast									
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034	FY2035
Number of customers (# MM)															
Brazil	52.4	70.9	87.9	101.8	112.7	122.7	132.6	141.9	150.6	158.5	163.7	168.8	173.8	177.5	181.0
Individual	*51.0*	*68.4*	*84.3*	*97.1*	*106.8*	115.3	123.4	130.8	137.4	142.9	145.7	148.6	151.6	153.1	154.7
SME	*1.4*	*2.5*	*3.6*	*4.7*	*5.9*	7.4	9.2	11.1	13.3	15.7	18.0	20.2	22.2	24.4	26.4
Mexico	1.4	3.2	5.2	10.0	14.1	19.7	27.2	36.8	49.6	64.5	80.7	96.8	111.3	122.5	132.3
Colombia	0.1	0.6	0.8	2.5	4.2	5.9	7.9	10.3	13.4	16.8	21.0	25.2	30.2	34.7	39.9
Total	53.9	74.7	93.9	114.3	131.0	148.3	167.8	189.0	213.7	239.8	265.4	290.8	315.3	334.7	353.2
Number of active customers (# MM) - Nu Holdings															
Total	41.1	61.2	78.0	94.9	109.3	123.42	139.62	157.23	177.80	199.54	220.79	241.92	262.34	278.48	293.86
Activity Rate (%)	76.3%	81.9%	83.1%	83.0%	83.4%										
Average Revenue per Active Customer (ARPAC) - US$	41.3	78.3	102.9	121.4	144.3	173.19	207.83	245.24	289.38	335.68	386.03	443.94	497.21	556.88	612.56
Total Revenue ($MM)	1,698.02	4,792.23	8,028.98	11,517.08	15,774.74	21,374.80	29,017.59	38,559.14	51,451.70	66,982.29	85,230.76	1,07,398.35	1,30,438.94	1,55,078.36	1,80,008.83

	Historical					Forecast									
Growth Rates (%)	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034	FY2035
Number of customers															
Brazil		35.3%	24.0%	15.8%	10.7%	8.9%	8.1%	7.0%	6.2%	5.2%	3.3%	3.1%	3.0%	2.1%	2.0%
Individual		34.1%	23.2%	15.2%	10.0%	8%	7%	6%	5%	4%	2%	2%	2%	1%	1%
SME		78.6%	44.0%	30.6%	25.5%	25%	25%	20%	20%	18%	15%	12%	10%	10%	8%
Mexico		128.6%	62.5%	92.3%	41.0%	40%	38%	35%	35%	30%	25%	20%	15%	10%	8%
Colombia		500.0%	33.3%	212.5%	68.0%	40%	35%	30%	30%	25%	25%	20%	20%	15%	15%
Total		38.6%	25.7%	21.7%	14.6%	13.2%	13.1%	12.6%	13.1%	12.2%	10.6%	9.6%	8.4%	6.2%	5.5%
Activity Rate						83%	83%	83%	83%	83%	83%	83%	83%	83%	83%
Average Revenue per Active Customer (ARPAC) - US$		89.53%	31.46%	17.90%	18.92%	20%	20%	18%	18%	16%	15%	15%	12%	12%	10%
Total Revenue		182.22%	67.54%	43.44%	36.97%	35.5%	35.8%	32.9%	33.4%	30.2%	27.2%	26.0%	21.5%	18.9%	16.1%

- Growth Rate of Customers:
  - Brazil: Largely penetrated market. Slow growth assumed.
  - Mexico & Colombia: Grown such that in Year 10, Nu has penetrated >90% of estimated adult population.
- Activity Rate kept constant at average rate of last 3 years at 83%.
- Growing ARPAC, assuming increasing wallet share per customer with new launch of products.
- Estimated growth rate is likely to be slightly higher given customer base expansion in US is unaccounted for.

Revenue Assumptions

Via Product Segmentation

	Historical					Forecast									
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034	FY2035
	US$	US$	US$	US$	US$	US$	US$	US$	US$	US$	US$	US$	US$	US$	US$
Interest income – credit card	358	1,015	2,522	3,802	4,598	5517	6621	7945	9375	11063	12722	14249	15958	17554	19310
Interest income – loan	293	932	1,650	3,039	4,784	7416	11494	17241	25862	37500	52500	70875	92137	117935	147419
Interest income – other assets at amortized cost	66	389	851	1,279	2,285	3998	6797	11215	17943	27812	41718	60491	84687	114328	148626
Interest income – other receivables	17	161	399	324	362	361	361	361	361	361	361	361	361	361	361
Interest income and gains net of losses - financial instruments at fair value	309	1,088	973	1,288	1,360	1177	1177	1177	1177	1177	1177	1177	1177	1177	1177
Other income at fair value	4	(29)	45	(101)	47	47	47	47	47	47	47	47	47	47	47
Total interest income and gains net of losses on financial instruments	**1,047**	**3,555**	**6,440**	**9,631**	**13,435**	**18516**	**26497**	**37986**	**54766**	**77960**	**108525**	**147200**	**194368**	**251403**	**316941**
Credit and debit card income	472	917	1,188	1,381	1,720	2150	2688	3226	3871	4567	5252	5883	6471	7118	7688
Late fees	50	104	181	287	385	520	702	947	1231	1601	2081	2601	3252	4065	5081
Insurance commission	0	0	6	29	36	36	36	36	36	36	36	36	36	36	36
Other fee and commission income	141	215	215	189	199	205	205	205	205	205	205	205	205	205	205
Customer Program ("NuSócios")	(11)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total fee and commission income	**651**	**1,237**	**1,589**	**1,886**	**2,340**	**2911**	**3630**	**4413**	**5343**	**6409**	**7574**	**8725**	**9963**	**11423**	**13009**
Total Revenue	**1698.02**	**4792.23**	**8028.98**	**11517.08**	**15774.74**	**21427**	**30127**	**42399**	**60108**	**84368**	**116099**	**155924**	**204331**	**262826**	**329950**

	Historical					Forecast									
Growth Rates	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034	FY2035
	%	%	%	%	%	%	%	%	%	%	%	%	%	%	%
Interest income – credit card		183.6%	148.5%	50.8%	20.9%	20%	20%	20%	18%	18%	15%	12%	12%	10%	10%
Interest income – loan		218.5%	77.0%	84.1%	57.4%	55%	55%	50%	50%	45%	40%	35%	30%	28%	25%
Interest income – other assets at amortized cost		487.2%	119.0%	50.2%	78.6%	75%	70.0%	65%	60%	55%	50%	45%	40%	35%	30%
Total interest income and gains net of losses on financial instruments		**239.6%**	**81.1%**	**49.6%**	**39.5%**	**37.8%**	**43.1%**	**43.4%**	**44.2%**	**42.4%**	**39.2%**	**35.6%**	**32.0%**	**29.3%**	**26.1%**
Credit and debit card income		94.6%	29.5%	16.2%	24.6%	25%	25%	20%	20%	18%	15%	12%	10%	10%	8%
Late fees		109.2%	72.9%	59.1%	33.9%	35%	35%	35%	30%	30%	30%	25%	25%	25%	25%
Total fee and commission income		**89.9%**	**28.5%**	**18.7%**	**24.1%**	**24.4%**	**24.7%**	**21.6%**	**21.1%**	**20.0%**	**18.2%**	**15.2%**	**14.2%**	**14.7%**	**13.9%**
Total Revenue		**182.2%**	**67.5%**	**43.4%**	**37.0%**	**35.8%**	**40.6%**	**40.7%**	**41.8%**	**40.4%**	**37.6%**	**34.3%**	**31.0%**	**28.6%**	**25.5%**

- Items constituting >3% of revenue have been forecasted in line with historical trend; sense-checked against trends in common-size statement.
  - Credit card related income expected to grow since nascent Mexico and Colombia markets have been entered with credit cards.
  - Loan book expected to grow rapidly. Nubank has recently acquired banking license for Mexico.
- Items <3% of revenue have been kept constant at average of past 3 or 4 years, or constant at previous year's value.
- Financial instruments at fair value cannot be forecasted. Kept constant.

Assumptions

	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034	FY2035
Via Product	35.8%	40.6%	40.7%	41.8%	40.4%	37.6%	34.3%	31.0%	28.6%	25.5%
Via Geography	35.5%	35.8%	32.9%	33.4%	30.2%	27.2%	26.0%	21.5%	18.9%	16.1%
Revenue Assumption	**35.0%**	**38.0%**	**38.0%**	**38.0%**	**36.0%**	**35%**	**33%**	**30%**	**25%**	**20%**

- Revenue growth taken as roughly average of growth rates obtained via both methods.

Total interest and other financial expenses	Historical					Forecast									
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034	FY2035
	US$	US$	US$	US$	US$	US$	US$	US$	US$	US$	US$	US$	US$	US$	US$
Total interest and other financial expenses	367	1,548	2,037	2,835	4,579	6,645	9,438	13,103	17,854	24,103	31,847	40,502	50,627	61,877	72,565
Growth Rate (%)		*321.4%*	*31.6%*	*39.2%*	*61.5%*	*45.1%*	*42.0%*	*38.8%*	*36.3%*	*35.0%*	*32.1%*	*27.2%*	*25.0%*	*22.2%*	*17.3%*
Deposits	9667.30	15808.54	23691.13	28855.07	41925.10	60791.40	85107.96	117448.98	158556.12	214050.76	278265.99	347832.49	434790.61	521748.73	600011.04
Average Deposits		12737.92	19749.84	26273.10	35390.08	51358.25	72949.68	101278.47	138002.55	186303.44	246158.38	313049.24	391311.55	478269.67	560879.89
Effective Interest Rate (%)		**12.2%**	**10.3%**	**10.8%**	**12.9%**	12.9%	12.9%	12.9%	12.9%	12.9%	12.9%	12.9%	12.9%	12.9%	12.9%
Deposit Growth Rate (%)		*63.5%*	*49.9%*	*21.8%*	*45.3%*	45%	40%	38%	35%	35%	30%	25%	25%	20%	15%

- Interest on deposits modelled as % of deposits. Deposit growth rate in line with historical trend and tapered down to 15%. Expected to grow rapidly with increased focus on Mexico and Colombia alongside international expansion.
- Taken last year's effective interest rate on average deposits as constant for all forecast years.

Expected credit loss	Historical					Forecast									
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034	FY2035
Gross Credit Card Receivables	5162.153	9266.225	14488.336	14,619	21,751	31539.28	44785.77	62700.08	86526.12	116810.26	151853.33	194372.27	242965.33	296417.71	355701.25
Growth Rate (%)		*79.5%*	*56.4%*	*0.9%*	*48.8%*	45.0%	42.0%	40.0%	38.0%	35.0%	30.0%	28.0%	25.0%	22.0%	20.0%
Gross Loans to Customers	1392.35	1976.499	3713.77	6,116	10,915	18556.27	30617.85	48988.55	75932.26	113898.39	165152.66	231213.72	312138.53	405780.08	507225.11
Growth Rate (%)		*42.0%*	*87.9%*	*64.7%*	*78.5%*	70.0%	65.0%	60.0%	55.0%	50.0%	45.0%	40.0%	35.0%	30.0%	25.0%
Gross Loan Book	**6,555**	**11,243**	**18,202**	**20,736**	**32,667**	**50095.55**	**75403.62**	**111688.64**	**162458.37**	**230708.64**	**317005.99**	**425585.99**	**555103.86**	**702197.79**	**862926.35**
Growth Rate (%)		*71.53%*	*61.90%*	*13.92%*	*57.54%*	*53.35%*	*50.52%*	*48.12%*	*45.46%*	*42.01%*	*37.41%*	*34.25%*	*30.43%*	*26.50%*	*22.89%*
Expected credit loss	480.643	1404.911	2285.218	3168.983	4204.876	6512.42	9802.47	14519.52	21119.59	29992.12	41210.78	55326.18	72163.50	91285.71	112180.43
ECL as % of Gross Loan Book	**7.3%**	**12.5%**	**12.6%**	**15.3%**	**12.9%**	13.0%	13.0%	13.0%	13.0%	13.0%	13.0%	13.0%	13.0%	13.0%	13.0%

- ECL modelled as % of Gross Loan Book (Credit Card Receivables + Loans to Customers). Both grown in line with historical trend.
- ECL as % of Gross Loan Book taken as constant at 13%, average of past 4 years.

Assumptions

Nu Holdings Ltd.
Assumptions



	Hist. FY2024	Hist. FY2025	Proj. FY2026	Proj. FY2027	Proj. FY2028	Proj. FY2029	Proj. FY2030	Proj. FY2031	Proj. FY2032	Proj. FY2033	Proj. FY2034	Proj. FY2035
Total Revenue Growth	43.4%	37.0%	35.0%	38.0%	38.0%	38.0%	36.0%	35.0%	33.0%	30.0%	25.0%	20.0%
Interest and other financial expenses as % of Average Deposits		12.9%	12.9%	12.9%	12.9%	12.9%	12.9%	12.9%	12.9%	12.9%	12.9%	12.9%
Transactional expenses as % of Sales	-2.3%	-2.3%	-2.3%	-2.3%	-2.2%	-2.2%	-2.0%	-2.0%	-2.0%	-2.0%	-2.0%	-2.0%
Expected credit loss as % of Gross Loan Book	-15.3%	-12.9%	-13.0%	-13.0%	-13.0%	-13.0%	-13.0%	-13.0%	-13.0%	-13.0%	-13.0%	-13.0%
Customer support and operations as % of Sales	-5.2%	-4.1%	-4.0%	-3.8%	-3.6%	-3.5%	-3.5%	-3.5%	-3.5%	-3.5%	-3.5%	-3.5%
General and administrative expenses (G&A) as % of Sales	-10.9%	-9.0%	-8.0%	-8.0%	-7.5%	-7.0%	-7.0%	-7.0%	-7.0%	-7.0%	-7.0%	-7.0%
Marketing expenses as % of Sales	-2.1%	-1.9%	-1.8%	-1.6%	-1.5%	-1.5%	-1.5%	-1.5%	-1.5%	-1.5%	-1.5%	-1.5%
Other expenses as % of Sales	-3.1%	-3.2%	-3.2%	-3.2%	-3.2%	-3.2%	-3.2%	-3.2%	-3.2%	-3.2%	-3.2%	-3.2%
Other income		130.09	130.09	130.09	130.09	130.09	130.09	130.09	130.09	130.09	130.09	130.09
Effective Tax Rate	29.4%	25.8%	25.8%	25.8%	25.8%	25.8%	25.8%	25.8%	25.8%	26%	25.8%	25.8%
Deposit Growth Rate			45.0%	40.0%	38.0%	35.0%	35.0%	30%	25%	25%	20%	15%
Gross Credit Card Receivables Growth Rate			45.0%	42.0%	40.0%	38.0%	35.0%	30%	28%	25%	22%	20%
Gross Loans to Customers Growth Rate			70.0%	65.0%	60.0%	55.0%	50.0%	45%	40%	35%	30%	25%

- All other expenses assumed as % of forecasted revenue based on historical common size statement.

Cost of Equity

Nu Holdings Ltd.
Cost of Equity

Risk-free Rate	4.32%	(10 Year US Treasury Yield)
Beta	1.33	
Equity Risk Premium	4.67%	(Prof Damodaran)
Country Risk Premium		
Brazil	3.24%	(Prof Damodaran)
Colombia	2.85%	(Prof Damodaran)
Mexico	2.46%	(Prof Damodaran)
Weighted by Geography Revenue		
Brazil	91.35%	
Colombia	1.96%	
Mexico	6.69%	
Country Risk Premium	3.18%	
Cost of Equity	**13.7%**	

Beta	
5Y Weekly	1.33
3Y Weekly	1.28
1Y Weekly	1.42
Average	**1.34**

Risk Stack

Risk Free: 4.32%

+

Equity Risk: 6.21%

+

Latam Operations Risk: 3.18%

=

Cost of Equity: 13.7%

Valuation

Nu Holdings Ltd.

Valuation



	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034	FY2035
Time	0	1	2	3	4	5	6	7	8	9	10
Cost of Equity(%)		13.71%	13.71%	13.71%	13.71%	13.71%	13.71%	13.71%	13.71%	13.71%	13.71%
Reported Net Profit	2,871.67	3,093.77	3,515.75	4,291.39	5,500.40	6,749.27	9,056.15	13,006.82	18,204.83	22,973.04	26,843.43
Net Worth	11,290.95	14,384.72	17,900.48	22,191.86	27,692.26	34,441.53	43,497.69	56,504.51	74,709.34	97,682.38	1,24,525.81
Residual Income		1545.27	1542.96	1836.42	2456.89	2951.41	4332.66	7041.32	10455.51	12727.00	13446.76
PV		1358.91	1193.22	1248.89	1469.34	1552.21	2003.82	2863.80	3739.54	4002.97	3719.27
Sum of PV	**23151.97**										

Current Net Worth	11,291
PV of Residual Income for Forecast Period	23151.97
Assumed Growth Rate 2031 onwards	5.0%
Terminal Residual Value	162017.98
PV of Terminal Value	44812.98
Equity Value	**79,256**
Weighted average number of outstanding shares – Diluted (in thousands of shares)	**4,907**
Price Per Share	**16.15**

Sensitivity Analysis

		Terminal Growth Rate				
		4%	4.5%	5%	5.50%	6%
Cost of Equity	12.5%	19.05	19.81	20.67	21.66	22.79
	13%	17.29	17.92	18.62	19.42	20.33
	13.50%	15.74	16.26	16.84	17.50	18.24
	14%	14.37	14.81	15.29	15.83	16.44
	14.50%	13.16	13.52	13.93	14.37	14.87

Minimum	**13.16**
Maximum	**22.79**

- Using the residual income method of valuation.
- **Assumption: Terminal growth rate - 5%** (Nominal GDP growth rate of Brazil: 6.4% (March 2026); Mexico: 4.604 % (Dec 2025); Colombia: 5.642% (Dec 2025))

INVESTMENT RECOMMENDATION

DCF Value: $16.15 per share | Current Market Price: $14.64

Recommendation: BUY

Rationale:

- $0.80/month cost-to-serve vs. $8–12 for incumbents. 19.9% efficiency ratio vs. 55% at Bradesco. Built on zero branches and 100% cloud, incumbents cannot replicate this without dismantling themselves
- Brazil captures only 5% of addressable gross profit despite 62% adult penetration. Mexico just received its banking licence. Colombia is where Mexico was two years ago. Three compounding growth engines, one platform
- 131M customers feeding 60+ ML models that improve underwriting, compress credit losses and sharpen cross-sell continuously. Every new customer makes the system better for the next, a network effect inside a regulated bank

THANK YOU!

